



Compliance Management Systems Policy



Document Owner:

ibex Compliance Leadership

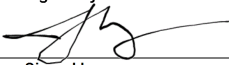
ComplianceLeadership@ibex.co

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	Christy O'Connor
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Table of Contents

1.	PURPOSE.....	1
2.	SCOPE	1
3.	ROLES AND RESPONSIBILITIES	1
4.	POLICY	2
4.1.	OVERVIEW	2
4.2.	OVERSIGHT REVIEW BOARD AND SENIOR LEADERSHIP	3
4.3.	POLICIES AND PROCEDURES.....	4
4.4.	TRAINING AND TESTING	5
4.5.	MONITORING AND CORRECTIVE ACTION	5
4.6.	CONSUMER COMPLAINT RESPONSE	7
4.7.	COMPLIANCE AUDITING.....	7
5.	COMPLIANCE AUDITING.....	8
6.	TRAINING AND TESTING	8
7.	ENFORCEMENT	8
8.	REVISION HISTORY	9

1. Purpose

ibex is committed to maintaining a robust Compliance Management System (CMS). Compliance is part of the day-to-day responsibilities of every employee. The CMS components are integrated into each department's processes to create an overall framework of inter-dependence and accountability. The CMS evolution is driven by consumer complaints, client requirements, cross-departmental reports, trend analysis, auditing, risk assessment, industry best practices, and updates to legal and regulatory guidance. ibex's CMS is designed to –

- 1.1. Take into account expectations of internal stakeholders, clients, and customers.
- 1.2. Manage internal and external risks.
- 1.3. Adapt to changing business strategies.
- 1.4. Respond effectively to changing consumer needs.
- 1.5. Demonstrate the organization's commitment to its compliance obligations.

2. Scope

This policy applies to all departments and all employees supporting ibex. The Chief Compliance Officer is responsible for implementing and enforcing this policy.

3. Roles and Responsibilities

Role	Responsibility
Agents	Document calls and ensure that compliance to relevant policies.
Customer Security Team	Conduct compliance reviews, policy enforcement, trend analysis and reporting.
Human Resources	Safeguard records of employment, compensation, and discipline. Ensure oversight on records of training, testing, and performance.
Risk Assessment Team	Ensure that periodic audits are conducted to measure adherence to the policy.
IT Department	Develop and maintain compliance-related technology controls.
Management	Enforce the policy and ensure continuous coaching are conducted.
Quality Assurance Department	Responsible for call / transaction / account monitoring and review.
Training Department	Ensure that new hires and tenured agents receive the proper training, testing, and upskilling where and when relevant.
Chief Compliance Officer (CCO)	Ensure that relevant assessments, internal audits, compliance monitoring are in place.

4. Policy

4.1. Overview

The CMS sets out the approach of ibex to manage compliance obligations in support of the organization's business objectives. The CMS operates through a framework and network of controls as directed by the leadership team.

4.1.1. Remote users can complete the training courses by accessing TMS while connected via VPN/AWS and/or complete the training at one of ibex's sites.

4.1.2. Remote users who do not have access to the ibex network (i.e Work From Home - w/o ibex. Network, Work Onsite - w/o ibex. Network, or Work From Clients Premises) can complete the training from ibex's external TMS site (tms.ibex.co).

4.1.2.1. The core components of the CMS are:

4.1.2.1.1 Overview Review Board

4.1.2.1.2 Policies and Procedures

4.1.2.1.3 Training and Testing

4.1.2.1.4 Monitoring and Corrective Action

4.1.2.1.5 Consumer Complaint Response

4.1.2.1.6 Compliance Auditing



- 4.1.2.2. To ensure that policies and processes are effective, ibex has incorporated and documented the following key components in their design and operation:
 - 4.1.2.2.1 **Purpose, Scope, and Objectives** – to define the process boundaries and interdependencies with other processes along with purpose and expected results.
 - 4.1.2.2.2 **Detailed Procedures** – to describe the steps necessary to be executed and they should be accomplished.
 - 4.1.2.2.3 **Resources, Roles and Responsibilities** – to define who are accountable and responsible for doing the work, administering it, and maintaining the process.
 - 4.1.2.2.4 **Measurement and Verification** – confirms objectives and results are being achieved and critical components of the process are adequately designed and being executed.
 - 4.1.2.2.5 **Continuous Improvement** – uses measurement and verification results and other input to evaluate how to improve the process and helps ensure actions are taken to improve process design and effectiveness.

4.2. Oversight Review Board and Senior Leadership

- 4.2.1. Through policies and procedures, the Chief Compliance Officer and Senior Management set forth clear expectations for achieving organizational excellence with a systematic approach regarding how to manage the requirements.
- 4.2.2. The success of ibex's corporate compliance and ethics program relies on high level oversight from the executives and senior management, as well as buy-in, support, and accountability from employees.
- 4.2.3. The Chief Compliance Officer and Senior Management receive regular reports on the status of compliance, quality assurance, and internal auditing programs.
- 4.2.4. The Chief Compliance Officer oversees the compliance program and evaluate compliance issues and concerns within the organization.
- 4.2.5. The Chief Compliance Officer helps ensure that executives, management, and employees are in compliance with the rules and regulations of regulatory agencies, that company policies and procedures are being followed and that behavior in the organization meets the company's code of conduct and ethics.
- 4.2.6. Periodic review board meetings are conducted to discuss issues, action items, and review and approval of governance policies and procedures.

4.3. Policies and Procedures

- 4.3.1. ibex has set a strong platform of policies, procedures, and corporate culture that ensures it complies with the provisions of all applicable consumer protection laws.
- 4.3.2. ibex Employee Handbook is updated regularly and incorporates all policies and procedures governing compliance.
- 4.3.3. As part of the company's continuing efforts for improved efficiencies, the Compliance Department routinely undertakes the examination of policies and procedures to ensure adherence to internal and external developments. The review is conducted annually, or more frequently as required.
- 4.3.4. ibex also updates its training materials, policies, and procedures periodically to ensure that they are aligned with relevant changes and updates to laws and regulations. The Chief Compliance Officer also ensures that ibex obtains appropriate legal opinions wherever necessary.
- 4.3.5. ibex has a well-documented change management system in place to manage both temporary and permanent process changes. These organizational changes may affect facilities, operations, products, personnel, or quality of information. The Change Management Procedure addresses the following:
 - 4.3.5.1. Temporary and permanent changes.
 - 4.3.5.2. Authority for approving changes.
 - 4.3.5.3. Evaluation of potential impact to business strategies, policies, and procedures because of the proposed change.
 - 4.3.5.4. Communicating the change throughout the organization or departments thereof.
 - 4.3.5.5. Training all personnel impacted by changes to facilities, operations, products, or the organization.
 - 4.3.5.6. Updating and maintaining all documentation because of the change.
 - 4.3.5.7. Monitoring after-effects of the change and the resulting financial impact to the organization, if any.
- 4.3.6. Changes and updates to policies and procedures are documented through version control and approval tables.
- 4.3.7. Employees complete attestations after reviewing every new or updated policy and procedure. These attestations are retained electronically.
- 4.3.8. Compliance also conducts periodic reviews of letters including regression testing and exception reporting. This process is used to confirm letter content is aligned with current compliance practices and client requirements. Compliance consults with legal counsel for approval of all letter templates.

4.4. Training and Testing

- 4.4.1. ibex has allocated resources to establish, develop, implement, evaluate, maintain, and improve a robust compliance culture through awareness-raising activities and continual learning.
- 4.4.2. ibex's Training Department is equipped to teach employees to follow the requirements of all applicable consumer protection laws and regulations.
- 4.4.3. Training curriculum is based upon laws and regulations, risk assessments, and client requirements. Training regularly reviews training material and content and the Compliance Department to ensure it is comprehensive and up to date.
- 4.4.4. The Training Department collaborates with Compliance, Quality Assurance, Operations, and HR to optimize employee potential through customized training programs.
- 4.4.5. Collection agents are well trained and re-educated on an ongoing basis to reinforce their understanding of laws and regulations, particularly those applicable to their daily interactions with consumers during the collection process. Refresher training emphasizes the following regulatory frameworks:
 - 4.4.5.1. FDCPA
 - 4.4.5.2. FCRA
 - 4.4.5.3. UDAAP
 - 4.4.5.4. GLBA
 - 4.4.5.5. Applicable state laws and regulations
 - 4.4.5.6. Applicable global compliance and security frameworks such as PCI-DSS, ISO27001, SOC II, and HiTrust
 - 4.4.5.7. Ibex policies related to agent conduct
- 4.4.6. Additional specialized training is offered in areas such as HIPAA, privacy, and security.
- 4.4.7. Collection agents also receive customized, client-specific training that encourages them to work with consumers in a friendly, professional, and ethical manner.
- 4.4.8. All employees involved in day-to-day operations or compliance functions receive compliance testing upon new hire and once annually.

4.5. Monitoring and Corrective Action

- 4.5.1. All departments are responsible for monitoring and corrective action. ibex monitoring program covers many aspects:
 - 4.4.5.1. Call Monitoring Evaluations
 - 4.4.5.2. Physical and cyber security monitoring
 - 4.4.5.3. Internal Auditing

- 4.5.2. The Quality Assurance (QA) Department and the Customer Security Team (CST) have established well-defined monitoring and evaluation processes with clearly defined guidelines, metrics, and a regular schedule. This promotes employees to do the right thing at all times and deters against misleading practices.
- 4.5.3. QA and CST utilize standardized call monitoring evaluation forms to review agents' interactions with consumers. The forms itemize various aspects of interaction including compliance with laws, regulations, internal policies, client requirements, and overall customer service. Items have standardized scores weighted according to risk of consumer harm.
- 4.5.4. ibex has implemented controls for monitoring physical security and cyber security to facilitate efficient operations without compromising customer data. Security of Personnel and Assets can be broken into the following components:

- 4.5.4.1. **Badge Access Controls** – Ensures only employees and authorized personnel have access to the organization, resources, and information.
- 4.5.4.2. **System Access Controls** – Ensures only authorized and certified employees have access to sensitive customer information. Access levels are defined based on employee designation and manager sanction.
- 4.5.4.3. **Camera Coverage** – Cameras are installed at various locations throughout the premises and externally to ensure the security of personnel and data. Footage is recorded and retained for 90 days and reviewed regularly by a member of the security team.
- 4.5.4.4. **Data Retention and Destruction** – The need to retain data varies widely with the type of data and the purpose for which it was collected. ibex strives to ensure that data is only retained for the period necessary to fulfill the purpose for which it was collected and is securely deleted when no longer required.

ibex only retains and maintains data as long as it is useful. There may be a variety of reasons why ibex needs to retain data:

- 4.5.4.5.1. To comply with laws and regulations
- 4.5.4.5.2. To comply with client contractual obligations
- 4.5.4.5.3. To keep accurate financial records
- 4.5.4.5.4. To guarantee availability of data for business continuity and other organizational purposes

ibex has a comprehensive guideline for data destruction including the timing and secure deletion method.

- 4.5.4.5. **Employee Training** – Employees receive regular training in security awareness and are expected to remain vigilant in maintaining the integrity of the security environment. Training materials are updated periodically to reflect changes in regulatory requirements, emerging threats, and internal policies. The Company ensures that all employees understand their individual responsibilities with respect to compliance and security through onboarding programs, annual refreshers, and targeted learning modules.

- 4.5.4.6. IT has implemented data security controls to insulate the systems from internal and external breaches. These controls are discussed in more detail in the Information Security Policy.

4.6. Consumer Complaint Response

- 4.6.1. The Compliance Department has implemented a multi-tiered system to ensure that all consumer complaints and disputes are handled professionally, ethically, and systematically. The program includes:
 - 4.6.1.1. Compliance Training
 - 4.6.1.2. Monitoring
 - 4.6.1.3. Tracking Complaint Investigation, Response, and Corrective Action
 - 4.6.1.4. Trend Analysis
 - 4.6.1.5. Proactive Legal and Regulatory Updates
- 4.6.2. The Compliance Department has implemented automated reports to track every stage of the complaint handling process:
 - 4.6.2.1. Documentation
 - 4.6.2.2. Categorization
 - 4.6.2.3. Notice to Client
 - 4.6.2.4. Investigation
 - 4.6.2.5. Response to Consumer
 - 4.6.2.6. Corrective Action, as needed
- 4.6.3. Complaint details are maintained in the Complaint Tracking and Dispute Tracking Logs.
- 4.6.4. The Compliance Department uses the data tracked in these logs to conduct trend analysis to identify potential risks and opportunities for improvement.
- 4.6.5. For more details on how Compliance handles consumer complaints, regulatory complaints, and lawsuits, *refer to the Complaint Handling Policy*.

4.7. Compliance Auditing

- 4.7.1. All executive managers are responsible for auditing compliance within their own departments.
- 4.7.2. The Compliance department establishes a plan of scheduled audits.
- 4.7.3. Risk assessments are conducted in partnership with the heads of all departments to evaluate risks consistently, maintain appropriate controls, and ensure effective and efficient operations and regulatory compliance throughout the organization.
- 4.7.4. The Compliance Department conducts Internal Risk Assessments independently to review business practices across the organization to verify all risks and that any non-compliance is identified and addressed.

- 4.7.5. Internal Risk Assessments are conducted routinely. These assessments are mostly unannounced to evaluate the effectiveness of ibex's CMS and internal control structures.
- 4.7.6. Assessments are carried out with reference to federal, state, and local laws and regulations, client requirements, and industry's best practices.
- 4.7.7. Internal Risk Assessment reports are provided to the CIO and senior management with recommended plans for corrective action or process improvement as necessary. Refer to the Internal Risk Assessment Policy for more details.
- 4.7.8. Trend analysis identifies opportunities for improvement throughout the organization and is used to focus compliance initiatives, assess resource allocation, and identify staffing needs.
- 4.7.9. Compliance presents trend analysis reports to the Board on a quarterly basis, or more frequently as needed.

5. Compliance Auditing

Compliance will review accounts and audit reports, conduct trend analysis, and report to the Executive Team Compliance to evaluate the efficacy of CMS controls and take corrective action as needed. The Internal Risk Assessment team shall audit compliance with this policy on an annual basis.

Compliance audit results, including any material findings, will be reported to the Chief Legal Officer and the Audit & Risk Committee, as appropriate based on the nature and severity of the findings.

6. Training and Testing

All personnel will receive training on ibex's policies applicable to their position upon hire or promotion. The same company personnel will complete attestations and assessments on those policies upon completion of training and on an annual basis. All attestations will be acknowledged and recorded through the company's learning management system using the employee's e-signature.

Compliance is a core component of the training and testing programs. All new hires are required to pass compliance tests. Existing employees are re-tested annually.

7. Enforcement

Employees are encouraged to report suspected misconduct, including noncompliance with this policy, through their supervisor, Human Resources, the Compliance team, or the Company's confidential whistleblower hotline (Lighthouse).

The Company will investigate all reported violations in accordance with its established policies and procedures. Confirmed violations may result in disciplinary action, up to and including termination of employment.

Violations of this policy will not be tolerated. Infractions will subject an employee to corrective discipline up to and including termination of employment.

8. Revision History

Version	Date	Details of Changes	Change By	Reviewed By	Approved By
1.0	07/23/2020	Created the document	Sandra Fernandez	Sandra Fernandez	Jim Ferrato
2.0	09/17/2021	Transferred to new template. Edited / added some provisions under policy	Flara Jaculina	Sandra Fernandez	Jim Ferrato
3.0	09/15/2022	Added training provisions of applicable global compliance and security frameworks	Lloyd Macatangay	Flara Jaculina	Sandra Fernandez Jim Ferrato
4.0	06/14/2023	Updated general provisions on Data Retention and Deletion to specify reasons for retention	Flara Jaculina	Flara Jaculina	Sandra Fernandez Jim Ferrato
4.1	05/08/2024	Transferred to new template	Lloyd Macatangay	Flara Jaculina	Sandra Fernandez Jim Ferrato
4.2	04/30/2025	Updated Employee Training References, Auditing (Added Escalation/Governance Structure), and Enforcement	Lloyd Macatangay	Sandra Fernandez	Jason Malmberg Christy O'Connor